

## Rupee worries

The rupee has been creating **headlines** in recent weeks, recording lifetime lows every other day. This is, however, not as **alarming** as it **sounds**; the Indian currency is down only 2.68 per cent against the dollar in 2024. The RBI has been fairly successful in allowing the Indian currency to move in an orderly manner over the last **decade**. The **compounded annual depreciation** in the rupee is 3 per cent between 2015 and 2024. But the rupee has recorded losses in nine out of the last ten years, **implying** that the central bank is comfortable about allowing the rupee to **depreciate**.

The RBI should review the tools it **deploys** to control **undue volatility** in the Indian currency; **forward positions** in the rupee **have** been **contributing to** the volatility in recent weeks. The rupee traded flat in the first three quarters of 2024 with the declining trend beginning since October. All emerging market currencies were hit by the **surge** in dollar in the last quarter of 2024, on US **optimism** over Donald Trump becoming the President. A sharp **increase** in **foreign portfolio** outflows in October and November, expansion in **trade deficit** and high inflation numbers also **added to** the pressure on the rupee in recent months. Yet, the rupee has **fared** well compared with most other emerging market currencies including the Brazilian Real (down 20 per cent), the Mexican Peso (18 per cent) and the South Korean Won (11.6 per cent) against the **greenback** in 2024. RBI's active **intervention** in the forex market **seems** to have helped rupee record lower depreciation **vis-a-vis** its emerging market **peers**.

The central bank has been using a variety of tools, including intervention in the interbank OTC market through large PSU banks, positions in domestic and overseas forward market, and through domestic exchange traded **derivatives**, to manage the rupee. With intervention in the OTC market **depleting** forex reserves and reducing domestic **liquidity**, the RBI has been taking large positions in the forwards market in the last quarter of 2024. **Outstanding short positions** of RBI in the **forward market jumped** to \$49.1 billion towards October-end, **registering** an increase of 237 per cent over net short positions towards the end of September 2024. A short position in dollars implies that the RBI will have to buy dollars in the future, which will apply downward pressure on the rupee. According to media reports, the central bank had decided not to **roll over** some of these positions in December, contributing to the **turbulence** in rupee in the last week of December.

The RBI is surely aware that **positions** in the forward market **are** highly risky and can cause large losses, if judgement of the currency movement proves **erroneous**. The central bank also needs to **examine** whether it should allow the currency to **appreciate** when conditions are favourable. This can help control **imported inflation** and reduce the **liabilities** of companies which have borrowed in **overseas** markets.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

## Vocabulary

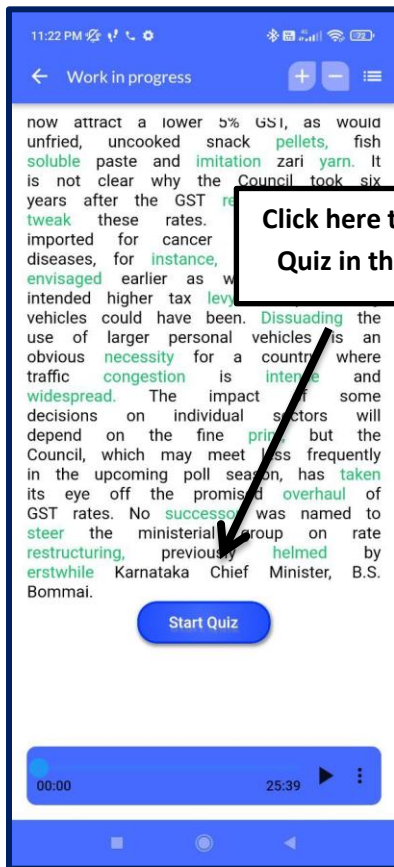
1. **Headline** (noun) – Title, caption, heading, news heading, tagline सुर्खियाँ
2. **Alarming** (adjective) – Disturbing, worrisome, shocking, concerning, frightening चिंताजनक
3. **Sound** (verb) – Seem, appear, resonate, convey, suggest लगना
4. **Decade** (noun) – Period of ten year दशक
5. **Compounded annual depreciation** (noun) – A financial term referring to the average yearly reduction in value over a given period, taking into account cumulative effects.
6. **Imply** (verb) – Suggest, indicate, infer, mean, denote संकेत देना
7. **Depreciate** (verb) – Devalue, reduce in value, decline, weaken, lower अवमूल्यन होना
8. **Deploy** (verb) – Utilize, implement, employ, use, position लागू करना
9. **Undue** (adjective) – Excessive, unnecessary, unwarranted, inappropriate, extreme अनुचित
10. **Volatility** (noun) – Instability, fluctuation, unpredictability, inconsistency, turbulence अस्थिरता
11. **Contribute** (to) (verb) – Add, lead to, aid, bring about, assist योगदान देना
12. **Surge** (noun) – Rise, increase, upsurge, boost, escalation वृद्धि
13. **Optimism** (noun) – Positivity, hopefulness, confidence, assurance, expectation आशावाद
14. **Foreign portfolio** (noun) – Investments made by individuals or institutions in financial assets of another country, such as stocks or bonds.
15. **Trade deficit** (noun) – The amount by which a country's imports exceed its exports. व्यापार घाटा
16. **Add to** (phrasal verb) – Increase, escalate, compound, amplify, augment और बढ़ाना
17. **Fare** (verb) – Perform, do, manage, cope, progress प्रदर्शन करना
18. **Greenback** (noun) – A colloquial term for the U.S. dollar. अमेरिकी डॉलर
19. **Intervention** (noun) – Mediation, involvement, interference, action, intercession हस्तक्षेप
20. **Vis-à-vis** (preposition) – In relation to, with regard to, compared with, regarding, concerning के मुकाबले
21. **Peer** (noun) – Equal, counterpart, colleague, fellow, match समकक्ष

22. **Derivative** (noun) – A financial instrument whose value is derived from the performance of underlying assets, indexes, or entities.
23. **Deplete** (verb) – Exhaust, reduce, diminish, drain, use up समाप्त करना
24. **Liquidity** (noun) – The availability of liquid assets, such as cash, to a market or company, ensuring ease of transactions. तरलता
25. **Outstanding short position** (noun) – A financial position indicating an obligation to buy back borrowed securities or currencies.
26. **Forward market** (noun) – A marketplace for trading financial contracts that lock in future prices or rates for assets or currencies.
27. **Register** (verb) – Record, mark, show, indicate, document दर्ज करना
28. **Roll over** (phrasal verb) – Extend, renew, carry forward, defer आगे बढ़ाना
29. **Turbulence** (noun) – Disturbance, instability, chaos, unrest, commotion अशांति
30. **Erroneous** (adjective) – Incorrect, wrong, mistaken, flawed, inaccurate गलत
31. **Examine** (verb) – Inspect, analyze, review, assess, evaluate जांच करना
32. **Appreciate** (verb) – Increase in value, rise, gain, strengthen मूल्य बढ़ना
33. **Imported inflation** (noun) – Inflation that arises from an increase in the cost of imported goods and services.
34. **Liability** (noun) – A financial obligation or debt owed by an individual or entity.
35. **Overseas** (adjective) – Abroad, international, foreign, external विदेशीय

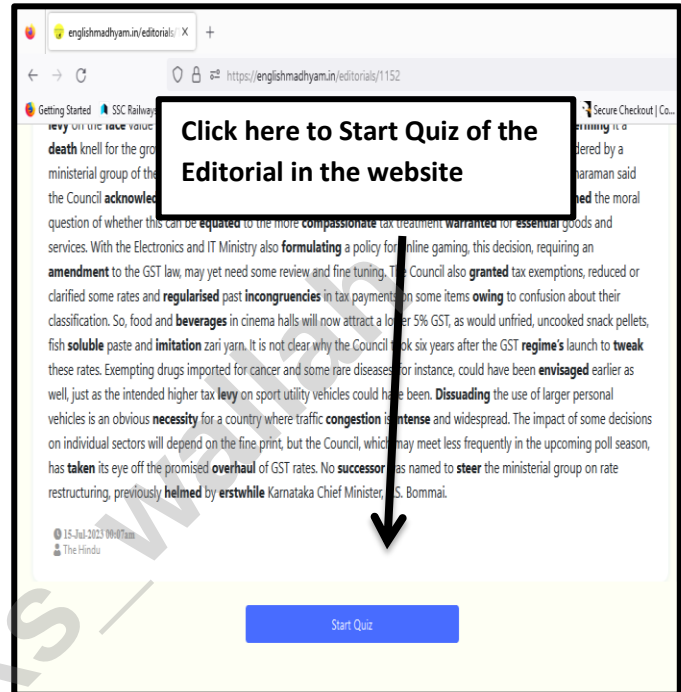
## Summary of the Editorial

1. **Rupee Depreciation Trends:** The rupee has been hitting lifetime lows, but the 2.68% depreciation against the dollar in 2024 is moderate compared to its historical performance.
2. **Long-Term Depreciation:** Between 2015 and 2024, the rupee's annual depreciation averaged 3%, and it has weakened in 9 of the last 10 years.
3. **RBI's Managed Approach:** The Reserve Bank of India (RBI) has maintained a controlled depreciation strategy, balancing stability with market dynamics.
4. **Volatility Concerns:** Recent weeks saw increased rupee volatility, partly due to RBI's forward market positions.
5. **Dollar Strength Surge:** A stronger dollar in late 2024, driven by U.S. optimism over Donald Trump's presidential prospects, impacted all emerging market currencies.
6. **Rupee's Relatively Better Performance:** The rupee outperformed peers like the Brazilian Real (down 20%), Mexican Peso (18%), and South Korean Won (11.6%) in 2024.
7. **Forex Outflows and Trade Deficit:** Foreign portfolio outflows in October-November, an expanding trade deficit, and high inflation exerted pressure on the rupee.
8. **RBI's Interventions:** The central bank used interbank OTC market interventions, forward market positions, and exchange-traded derivatives to stabilize the rupee.
9. **Forex Reserves Impact:** Interventions depleted forex reserves and reduced domestic liquidity, pushing RBI to rely on forward market positions.
10. **Rising Forward Market Positions:** RBI's outstanding short positions in the forward market jumped 237% from September to October 2024, reaching \$49.1 billion.
11. **Risk of Forward Market:** Heavy reliance on forward positions is risky, as misjudging currency movement could result in significant losses.
12. **Impact on Rupee's Trajectory:** The RBI's decision to not roll over some forward positions in December contributed to end-of-year rupee turbulence.
13. **Potential Policy Shift:** The RBI might need to reconsider allowing the rupee to appreciate during favorable conditions.
14. **Benefits of Rupee Appreciation:** Controlled appreciation could curb imported inflation and reduce liabilities of firms with overseas borrowings.
15. **Call for Policy Review:** A comprehensive review of RBI's tools to manage volatility and forward market risks is crucial for long-term currency stability.

## Practice Exercise: Banking Pattern Based



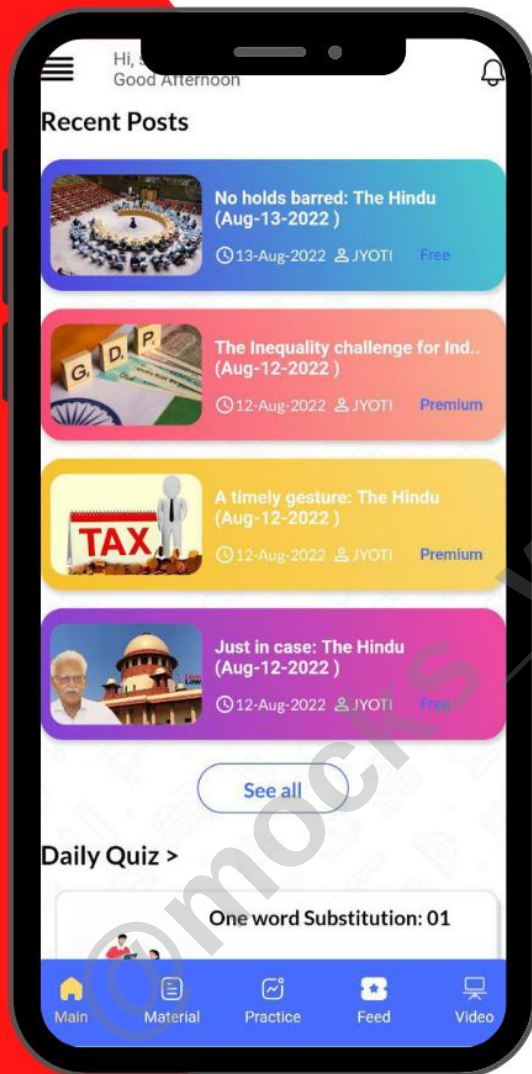
Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)



# Learn Vocabulary Through Reading Articles

**English Madhyam**